

HALFWAY HOUSE How the loan waiver impacts the farmer-dominated states

PUNJAB

Beneficiaries: 2.96 lakh out of 20.65 lakh farmers
Amount: Rs 1,223 crore
Problem: Size of holdings is bigger, so many will be denied benefits; ignores the Rs 13,000 crore taken from money lenders.
"The scheme is a fraud on poor and innocent farmers"
 PARASH SINGH BADAL, CHIEF MINISTER

HARYANA

Beneficiaries: 8 lakh out of 17.28 lakh farmers
Problem: Waiver available only to defaulters, which is 10 per cent of the Rs 16,834 crore of lending; doesn't address the problem of loans from money lenders.
"It is an unprecedented relief granted to farmers by Sonia Gandhi and Manmohan Singh."
 BHUPINDER SINGH HOODA, CHIEF MINISTER

MAHARASHTRA

Beneficiaries: 33 lakh out of 1.21 crore farmers
Problem: 70 per cent of farmers' loans are from money lenders; farmers in suicide-hit Vidarbha hold an average of 15 hectares and may not benefit.
"This is a historic and revolutionary decision."
 VILASRAO DESHMUKH, CHIEF MINISTER

GUJARAT

Beneficiaries: About 7 lakh out of 38 lakh farmers
Problem: The Gujarat Government believes it is impossible to implement the scheme

before June 30; most farmers are indebted to private money lenders.

"It is a political announcement, aimed at taking poor farmers for a ride."

NARENDRA MODI, CHIEF MINISTER

BIHAR

Beneficiaries: No clarity as no assessment has been done
Amount: An estimated Rs 3,500 crore would be written off
Problem: Farmers are too poor and out of credit umbrella; most depend on money lenders.
"The move is welcome but there is nothing in it for Bihar farmers."
 NITESH KUMAR, CHIEF MINISTER

KARNATAKA

Beneficiaries: 57 lakh out of 76 lakh farmers
Problem: Fear of social division among farmers as small farmers are dependent on large farmers who may resent this.
"This is a populist Budget. The Centre has copied many of our pro-farmer programmes."
 B.S. YEDHURAPPA, FORMER CHIEF MINISTER

ANDHRA PRADESH

Beneficiaries: About 55 lakh out of 115 lakh farmers
Amount: Rs 12,000 crore
"This is the mother of all waivers and the state will be the biggest beneficiary."
 Y.S. RAMASEDAR REDDY, CHIEF MINISTER

KERALA

Beneficiaries: 4 lakh out of 10 lakh farmers
Amount: Rs 1,500 crore

Problem: 75 per cent of loans are disbursed by cooperative banks or private money lenders; confusion over whether cooperative banks will be reimbursed.
"It brings good relief to Kerala because 80 per cent of the farmers here are small."
 V.S. ACHUTHANANDAM, CHIEF MINISTER

MADHYA PRADESH

Beneficiaries: 8 lakh out of 68.37 lakh farmers
Problem: Average land holding is bigger than in most states, but productivity is low, leading to subsistence farming; despite poverty, farmers will not benefit due to size of their holdings.
"The 25-per cent, one-time settlement waiver is insufficient. All farmers should have been given the benefit."
 SHYVRAI SINGH CHAUHAN, CHIEF MINISTER

UTTAR PRADESH

Beneficiaries: Still being worked out, but 80 per cent of the 2.25 crore farmers stand to benefit according to the state Government.
Problem: Farmers who have cleared their dues after December 2007 wonder whether they are eligible; the average land holding in Bundelkhand is 10 hectares and they fear they will be denied the benefits.
"The Government should have done something more for poor farmers, who are oppressed by local money lenders."
 MAZDUMAT, CHIEF MINISTER



SHOCK AND AWE: BJP carves its vote bank; Pawar gets a makeover (right)

Assembly elections this winter. The acceptance of the Sixth Pay Commission report just after the Budget session, the proposed completion of the loan waiver by June 30 and the initiation of the Aam Aadmi Bima Yojana, by September 30, are important milestones. Again, there is a choice. Some Congressmen, including the ginger group advising Sonia, believe it is better to win the states instead of going in for simultaneous polls. Victory will ensure a morale booster and give them friendly administrations in the four states. It will also give the Congress time to fine-tune its strategy, in case the monsoon plays truant. The Government has to work on an inflation management strategy to deal with mid-



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